

CANADA BREAD COMPANY, LIMITED

SECOND QUARTERLY REPORT

1997



CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

Net earnings for the second quarter were $6 million ($0.28 per share) compared with $5.3 million ($0.25 per share) for the same period last year. Net earnings for the first half were $13.1 million ($0.62 per share) compared with $8.9 million ($0.42 per share) for the same period last year. Net earnings in the first quarter included a $4 million after tax gain on the sale of Brooklyn Bagel Boys, Inc.

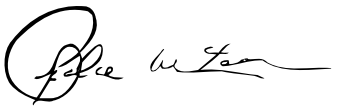
After adjusting for the sale of Brooklyn Bagel Boys, Inc. sales in the second quarter increased by 9% over the previous year. All of our operations experienced satisfactory growth in the quarter. Our new Calgary baking facility is nearing completion and is on target for its scheduled start-up this month. We are very pleased and excited by this new $26 million manufacturing facility, which will set a new quality standard for fresh and frozen bakeries. It will allow us to significantly accelerate our growth and will supply customers in Western Canada, the United States and other export markets.

Earnings from operations for the period, of $8.5 million are higher by 11.5% than last year, after adjusting for the sale of Brooklyn Bagel Boys, Inc. Significantly lower debt and the related interest savings from the sale of Brooklyn Bagel Boys, Inc. also contributed to improved net earnings.

The Company declared a quarterly dividend of $0.06 per share, payable October 1, 1997, to shareholders of record, September 15, 1997.

For the Board of Directors,





David H. Lees
President and Chief Executive Officer

Archibald D. McLean
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts) (Unaudited)	12 WEEKS ENDED June 14, 1997	12 WEEKS ENDED June 15, 1996	24 WEEKS ENDED June 14, 1997	24 WEEKS ENDED June 15, 1996
Sales	**$122,010**	**$120,772**	**$233,567**	**$229,709**
Earnings from operations	**8,461**	**8,481**	**12,861**	**13,779**
Interest expense	(391)	(766)	(700)	(1,450)
Other income	1,118	790	1,902	1,613
Gain on sale of business	—	—	6,300	—
Earnings before income taxes	**9,188**	**8,505**	**20,363**	**13,942**
Income taxes	3,197	3,184	7,211	5,065
Earnings before minority interest	**5,991**	**5,321**	**13,152**	**8,877**
Minority interest	(8)	(8)	(12)	(13)
Net earnings for the period	**$5,983**	**$5,313**	**$13,140**	**$8,864**
Earnings per share	**$0.28**	**$0.25**	**$0.62**	**$0.42**
Dividends per share declared	**$0.06**	**$0.06**	**$0.12**	**$0.12**
Weighted average number of shares (millions)	**21.4**	**21.3**	**21.3**	**21.3**

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars) (Unaudited)	12 WEEKS ENDED June 14, 1997	12 WEEKS ENDED June 15, 1996	24 WEEKS ENDED June 14, 1997	24 WEEKS ENDED June 15, 1996
CASH PROVIDED BY (USED IN):				
OPERATING ACTIVITIES				
Net earnings for the period	$5,983	$5,313	$13,140	$8,864
Add (deduct) items not affecting cash:				
Depreciation	3,462	3,283	6,872	6,467
Amortization	535	530	1,069	1,058
Equity earnings from an associated company	(1,075)	(750)	(1,900)	(1,500)
Deferred income taxes	—	171	—	371
Minority interest	8	8	12	13
Gain on Sale of Business	—	—	(4,000)	—
Changes in non-cash working capital	(2,330)	964	(7,510)	(7,659)
	6,583	9,519	7,683	7,614
FINANCING ACTIVITIES				
Increase in share capital	89	—	521	—
Repayment of debt to Parent Company	—	—	(3,531)	—
Increase in (repayment) of long-term debt	2,998	222	(14,447)	224
Dividends paid	(1,282)	(1,281)	(2,562)	(2,561)
Dividends paid to minority interest	—	(30)	(14)	(30)
	1,805	(1,089)	(20,033)	(2,367)
INVESTING ACTIVITIES				
Additions to property and equipment, net	(11,673)	(3,504)	(19,462)	(6,045)
(Acquisitions)/Disposal of net assets of businesses	—	(11,628)	29,929	(11,628)
Dividends received from an associated company	2,000	2,000	2,000	2,000
	(9,673)	(13,132)	12,467	(15,673)
Net decrease in cash for the period	**(1,285)**	**(4,702)**	**117**	**(10,426)**
Bank indebtedness , beginning of period	(3,389)	(7,289)	(4,791)	(1,565)
Bank indebtedness , end of period	**($4,674)**	**($11,991)**	**($4,674)**	**($11,991)**

The June 15, 1996 consolidated Statements of Earnings and Statements of Changes in Financial Position have been reclassified to conform to the presentation of the June 14, 1997 Consolidated Statements of Earnings and Statements of Changes in Financial Position.

CONSOLIDATED BALANCE SHEETS

(In thousands of Canadian dollars) (Unaudited)	As at June 14, 1997	As at June 15, 1996
ASSETS		
Current assets:		
Accounts receivable	$44,436	$48,615
Due from related company	4,169	87
Inventories	14,112	14,038
Prepaid expenses	4,419	5,496
	67,136	68,236
Investment in associated company	**42,368**	**39,368**
Property and equipment	**142,146**	**136,057**
Goodwill	**79,861**	**83,450**
	$331,511	**$327,111**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$4,674	$11,991
Accounts payable and accrued charges	59,674	58,018
Dividends payable	1,283	1,280
Income taxes payable	2,298	139
Current portion of long-term debt	191	444
	68,120	71,872
Long-term debt	**25,990**	**40,571**
Loan from Parent Company	**—**	**3,609**
Deferred income taxes	**20,766**	**19,374**
Minority interest	**80**	**138**
Shareholders' equity	**216,555**	**191,547**
	$331,511	**$327,111**